

MuscleBoxPro Franchise Program

Franchise Disclosure & Term Document

Build and Operate a MuscleBoxPro Network

Offered by Blendbox Innovations LLP

Automated Protein • Smarter Gyms • Scalable Networks

Table of Contents

1. Franchise Overview
2. MuscleBoxPro Territory Franchise
3. MuscleBoxPro City Franchise
4. City Franchise Territory
5. Strategic and Reserved Accounts
6. Franchise Investment
7. OEM Transparency
8. Machine Ownership
9. Finding Gym Locations
10. Gym Relationship
11. Gym Commercial Terms
12. Gym Agreement
13. Payment Collection
14. Franchise Profit Model
15. Gym-Level Profit Calculation
16. Franchise-Level Profit Calculation
17. Capital Recovery Model
18. Advertising Revenue
19. After Capital Recovery
20. Capital Recovery Example
21. City Franchise Capital Recovery
22. Franchise Dashboard
23. Accounting Transparency and Audit
24. Protein Supply
25. Product and Pricing Control
26. Machine Delivery
27. Local Operations
28. Franchisee Operational Responsibilities
29. Technical Support
30. OEM Warranty

31. Minimum Performance Requirements
32. Machine Deployment
33. Replacing a Gym
34. Adding More Machines
35. Machine Expansion Blocks
36. Priority Expansion Rights
37. Territory Expansion
38. Franchise Expansion
39. Franchisee Responsibilities
40. Technology Ownership
41. Brand and Marketing
42. Advertising Network
43. Franchise Transfer
44. Franchise Exit
45. Termination
46. Death, Insolvency and Change of Ownership
47. Confidentiality
48. Ecosystem Protection
49. Franchise Renewal
50. Dispute Resolution
51. Why Become a MuscleBoxPro Franchisee?
52. Franchise Journey
53. Standard Territory Franchise Summary
54. City Franchise Summary
55. Commercial Principles
56. Important Commercial Notice
ADDENDUM: SUPPLEMENTARY COMMERCIAL TERMS
57. Definitions
58. Capital Protection After 24 Months
59. Late Payment: Interest and Grace Period
60. Notice and Cure Period Before Termination

61. Insurance of Machines

62. Profit Calculation, Reporting and Audit Procedure

63. Taxes and Statutory Levies

64. Data Protection and Customer Information

65. Force Majeure

66. Post-Termination Brand Use and Non-Compete

67. Security Deposit

68. Franchise Term and Renewal

69. City Franchise Profit Share

70. Food Safety and Legal Metrology Compliance

71. Indemnity and Liability

72. Execution

Build Your Territory. Build Your Network. Build with MuscleBoxPro.

Build and Operate a MuscleBoxPro Network

MuscleBoxPro is building a technology-enabled network of automated protein shake machines across gyms and fitness centers.

The MuscleBoxPro Franchise Program allows selected partners to develop and operate a defined market while benefiting from the MuscleBoxPro technology platform, machine infrastructure, protein supply pipeline, centralized payment systems, advertising network, and established gym partnership model.

The franchisee invests in the expansion of the MuscleBoxPro network and participates in the profits generated by the machines assigned to their franchise.

Parties to this Document

This document sets out the commercial terms of the franchise program offered by:

BLENDBOX INNOVATIONS LLP, a limited liability partnership incorporated under the Limited Liability Partnership Act, 2008, having its registered office at 802, 8th Floor, Tower E, J M Aroma, Noida Sector 75, Noida, 201301, Uttar Pradesh, India, and bearing LLP Identification Number ACV-2836, trading under the brand name "**MuscleBoxPro**" (referred to in this document as "**MuscleBoxPro**", "**the Company**", or "**the Franchisor**");

and

The prospective franchisee identified in Section 72 (Execution) (referred to in this document as "**the Franchisee**");

each individually a "**Party**" and together the "**Parties**".

References in this document to "MuscleBoxPro" mean Blendbox Innovations LLP, trading as MuscleBoxPro, unless the context requires otherwise.

Key defined terms used throughout this document, including "Distributable Profit", "Capital Recovery Threshold", "Territory", "Franchise Commencement Date", and "Operational Start Date", are collected in Section 57 (Definitions).

1. Franchise Overview

MuscleBoxPro offers multiple franchise structures designed for different levels of market responsibility.

Franchise	Investment	Initial Machines	Market Rights
MuscleBoxPro Territory Franchise	₹25,00,000	5	Defined geographic territory
MuscleBoxPro City Franchise	₹50,00,000	10	Defined city

Additional franchise structures, including larger regional opportunities, may be introduced by MuscleBoxPro in the future.

The franchise investment is **not a purchase of the machines**.

All MuscleBoxPro machines remain the property of MuscleBoxPro.

2. MuscleBoxPro Territory Franchise

₹25 Lakh: 5 Machines

The Territory Franchise is designed for partners who want to develop a defined geographical territory.

Includes

- ₹25,00,000 franchise investment
- 5 MuscleBoxPro machines
- Exclusive rights to develop the assigned territory, subject to performance requirements
- Access to the MuscleBoxPro technology platform
- Machine monitoring and management
- Centralized payment infrastructure
- Protein supply pipeline
- Machine delivery
- Protein delivery to franchisee warehouse
- OEM coordination
- Technical support
- Software and technology updates
- Gym leads generated by MuscleBoxPro
- Advertising participation
- Franchise financial dashboard
- Opportunity to expand the number of machines

The exact territory will be mutually defined and documented before the franchise becomes operational.

3. MuscleBoxPro City Franchise

₹50 Lakh: 10 Machines

The City Franchise is designed for partners who want responsibility for developing the MuscleBoxPro network across an entire defined city.

Includes

- ₹50,00,000 franchise investment
- 10 MuscleBoxPro machines
- Exclusive city-level development rights, subject to performance requirements
- Access to the complete MuscleBoxPro technology ecosystem
- Machine monitoring and management
- Centralized payment infrastructure
- Protein supply pipeline
- Machine delivery
- Protein delivery to franchisee warehouse

- OEM coordination
- Technical support
- Software and technology updates
- Gym leads generated by MuscleBoxPro
- Advertising participation
- Franchise financial dashboard
- Priority consideration for additional machines and expansion

The City Franchise does not mean ownership of the city or ownership of the machines.

It provides the contractual right to develop and operate the MuscleBoxPro network within the defined city, subject to the franchise agreement.

4. City Franchise Territory

The City Franchise provides exclusive rights to develop MuscleBoxPro locations throughout the defined city or municipal area.

However, exclusivity is conditional upon:

- Maintaining the required number of active machines
- Meeting agreed deployment timelines
- Meeting agreed performance requirements
- Maintaining operational standards
- Complying with the franchise agreement

A franchisee cannot pay the City Franchise investment and subsequently leave the majority of the city undeveloped while preventing MuscleBoxPro from expanding.

If the franchisee fails to meet the applicable requirements, MuscleBoxPro may review, modify or withdraw territorial exclusivity in accordance with Section 31 (Minimum Performance Requirements).

5. Strategic and Reserved Accounts

MuscleBoxPro may reserve certain strategic accounts and opportunities from territorial exclusivity.

These may include:

- National gym chains
- Strategic corporate partnerships
- National accounts
- Large institutional customers
- National advertising partnerships
- Strategic partnerships directly negotiated by MuscleBoxPro
- Other accounts of comparable scale or strategic nature to those listed above, provided MuscleBoxPro designates the account as reserved in writing before the franchisee identifies it as a prospective gym location

Such reserved accounts will be handled directly by MuscleBoxPro or according to a separately agreed commercial arrangement.

6. Franchise Investment

Territory Franchise

Total investment:

₹25,00,000

Payment Schedule

50% at franchise registration

₹12,50,000

50% when machines are ready at the OEM

₹12,50,000

City Franchise

Total investment:

₹50,00,000

Unless the Parties agree a different schedule in writing at Franchise Registration, the City Franchise payment schedule mirrors the Territory Franchise structure at double the amount: 50% (₹25,00,000) at Franchise Registration, and 50% (₹25,00,000) when machines are ready at the OEM.

7. OEM Transparency

MuscleBoxPro will provide the franchisee with appropriate visibility into the procurement and manufacturing process.

This may include:

- OEM order information
- Machine specifications
- Manufacturing status
- Order status
- Dispatch status
- Relevant procurement documentation

The purpose is to provide transparency regarding the franchisee's machine allocation and investment.

Providing such information does not transfer ownership of the machines to the franchisee.

8. Machine Ownership

All MuscleBoxPro machines remain the exclusive property of MuscleBoxPro.

The franchisee receives the contractual right to operate the machines within the MuscleBoxPro ecosystem and assigned territory.

The franchisee may:

- Operate assigned machines at approved gym locations
- Move machines between approved locations
- Replace an underperforming gym
- Coordinate local machine deployment

The franchisee may not:

- Sell a machine
- Transfer machine ownership
- Independently commercialize a machine
- Use a machine outside the MuscleBoxPro ecosystem
- Modify or reverse engineer the machine
- Remove MuscleBoxPro technology or branding
- Use MuscleBoxPro machines for a competing business

Upon expiry or termination of the franchise, all machines remain the property of MuscleBoxPro, except to the extent Section 58 (Capital Protection After 24 Months) provides for transfer of Machine ownership to the franchisee.

9. Finding Gym Locations

MuscleBoxPro and the franchisee will work together, as independent contractors, to develop the local gym network.

MuscleBoxPro may provide:

- Gym leads
- Existing network opportunities
- Business development opportunities
- Commercial framework
- Standard gym partnership structure

Franchisee may:

- Identify suitable gyms
- Approach gyms within the territory
- Develop local relationships
- Recommend new locations
- Recommend replacement locations

All locations must be approved by MuscleBoxPro before deployment.

10. Gym Relationship

The franchisee is responsible for maintaining the local relationship with the gym.

MuscleBoxPro retains control over:

- Product pricing
 - Standard commercial framework
 - Gym profit-sharing model
 - Technology
 - Payment infrastructure
 - Final approval of gym locations
 - Dispute resolution
-

11. Gym Commercial Terms

MuscleBoxPro may use different gym commercial arrangements depending on the location.

Examples of the profit-sharing structures used between the gym and the MuscleBoxPro/franchise side include:

- 80:20 profit sharing
- 50:50 profit sharing

These are structures, not a fixed rule about which side receives the larger share. The specific split for a given location, including which party receives the larger share, depends on that location's commercial circumstances (for example, footfall, exclusivity, or rent arrangements) and is set out in the applicable gym agreement under Section 12.

The applicable arrangement will be determined by MuscleBoxPro based on the location and commercial circumstances.

The franchisee cannot independently commit MuscleBoxPro to a different gym profit-sharing structure.

12. Gym Agreement

The gym relationship will be documented through an appropriate agreement involving MuscleBoxPro, the franchisee and the gym, as applicable.

The agreement will establish:

- Machine deployment
- Commercial terms
- Pricing
- Revenue sharing
- Responsibilities
- Operating requirements
- Term
- Termination

- Other applicable conditions
-

13. Payment Collection

Customer and machine-related payments will be processed through the MuscleBoxPro-controlled payment and accounting infrastructure.

Centralized payment collection enables:

- Transparent accounting
- Consistent settlement
- Machine-level revenue tracking
- Revenue protection
- Centralized records
- Automated franchise calculations

The franchisee will have visibility into the relevant financial performance through the MuscleBoxPro dashboard.

14. Franchise Profit Model

The franchisee participates in the **profit generated by the MuscleBoxPro machines assigned to their franchise**, calculated using the single waterfall set out in Sections 15 and 16. The gym's profit share (Section 15) is deducted before the franchisee's Distributable Profit (Section 16) is calculated, so the same revenue is never counted toward both shares.

15. Gym-Level Profit Calculation

For each Machine, MuscleBoxPro will first calculate Gross Machine Profit as Gross Machine Revenue less:

- Protein cost
- Cup and consumable cost

The gym's profit share is calculated by applying the applicable gym-sharing percentage (see Section 11) to Gross Machine Profit, and is paid to the gym in accordance with the applicable gym agreement. This amount is deducted in Section 16 before the franchisee's Distributable Profit is calculated.

16. Franchise-Level Profit Calculation

The franchisee's **Distributable Profit** is calculated as Gross Machine Revenue, less the following costs, each only to the extent actually incurred and evidenced by supporting records:

- Protein cost
- Cup and consumable cost

- The gym's profit share payable under Section 15
- Payment processing charges
- Product wastage or spoilage actually incurred at the machine level
- MuscleBoxPro's own central logistics costs: transportation, warehousing, loading and unloading, and machine movement between MuscleBoxPro's central facilities and the franchisee's warehouse

This list is closed. It does **not** include the franchisee's own local operational costs under Section 27 (Local Operations) and Section 39 (Franchisee Responsibilities), which the franchisee bears directly and which are not deducted again here. A franchisee may query any deduction under Section 62 (Profit Calculation, Reporting and Audit Procedure).

17. Capital Recovery Model

The Territory Franchise operates under a capital recovery model.

Until the franchisee has received cumulative eligible protein-business profit equal to the Capital Recovery Threshold (the franchise investment plus the GST and other statutory levies borne by the franchisee on it; see Section 57):

Protein Business

100% of applicable MuscleBoxPro distributable protein-business profit is allocated to the franchisee.

This continues until the franchisee has recovered the full Capital Recovery Threshold through eligible protein-business profit distributions.

18. Advertising Revenue

Advertising is treated separately from the capital recovery mechanism.

Advertising income does **not** count toward the franchisee's Capital Recovery Threshold.

Advertising Profit Share

25%: Franchisee

75%: MuscleBoxPro

This advertising participation continues after the franchisee completes capital recovery, subject to the applicable advertising terms.

Advertising profit will be calculated after applicable advertising-related costs and expenses.

19. After Capital Recovery

Once the franchisee has received cumulative eligible protein-business profit equal to the Capital Recovery Threshold, the franchise moves into the post-recovery phase.

Protein Business

50%: Franchisee

50%: MuscleBoxPro

Advertising

25%: Franchisee

75%: MuscleBoxPro

The franchisee therefore continues to participate in the long-term economics of the MuscleBoxPro network even after recovering the initial franchise investment.

20. Capital Recovery Example

This example illustrates the calculation mechanism only. It is not a projection or forecast of actual revenue, profit, or timeline, and actual figures will depend on the factors listed in Section 56.

The Capital Recovery Threshold for a franchise is the franchise investment plus the GST and other statutory levies borne by the franchisee on it, determined under Section 57. No figure is fixed here, because the applicable rates are the ones in force when each payment is made. For the arithmetic below, and for no other purpose, assume a threshold of ₹30,00,000.

If the franchisee has received:

₹22,00,000

in eligible protein-business profit distributions:

Remaining recovery amount = ₹8,00,000

Any advertising income received during this period does not reduce the ₹8,00,000 remaining recovery amount.

If the franchisee subsequently receives ₹10,00,000 in eligible protein-business profit:

- ₹8,00,000 completes capital recovery.
- The remaining ₹2,00,000 is distributed under the post-recovery 50:50 protein profit-sharing model.

The MuscleBoxPro dashboard will track the recovery status.

21. City Franchise Capital Recovery

The City Franchise follows the same fundamental profit-sharing model.

The capital recovery threshold and profit-sharing model for the City Franchise are set out in Sections 57 and 69.

Unless otherwise agreed in writing, the advertising profit share remains separate from the capital recovery calculation.

22. Franchise Dashboard

Each franchisee will receive access to a MuscleBoxPro dashboard.

The dashboard may provide:

- Machine-wise sales
- Shake volume
- Gross revenue
- Protein consumption
- Cup consumption
- Gym share
- Transportation costs
- Warehouse costs
- Other applicable operating costs
- Advertising income
- Franchise distributable profit
- Franchisee payouts
- Capital recovery progress
- Remaining recovery amount
- Post-recovery status
- Machine status
- Operational alerts

The dashboard is intended to provide transparent machine-level and franchise-level visibility.

23. Accounting Transparency and Audit

MuscleBoxPro will maintain records relating to the franchise machines and associated revenue streams.

The franchisee will have access to relevant financial information through the dashboard.

The franchisee may also have reasonable audit and information-review rights relating to its assigned machines and associated franchise revenue, in addition to the specific procedure in Section 62 (Profit Calculation, Reporting and Audit Procedure). Additional procedures or limitations may be set out in a Supplementary Terms Agreement (see Section 57).

24. Protein Supply

MuscleBoxPro maintains the central protein supply pipeline.

MuscleBoxPro will deliver approved protein products to the franchisee's designated warehouse.

MuscleBoxPro provides:

- Approved protein products
- Central supply pipeline
- Product specifications

- Supply coordination
- Delivery to the franchisee warehouse

Franchisee provides:

- Warehouse/storage facility
- Local storage
- Inventory management after delivery
- Local movement of protein
- Appropriate storage conditions
- Local stock management

Only MuscleBoxPro-approved protein products and formulations may be used with MuscleBoxPro machines unless otherwise authorized in writing.

25. Product and Pricing Control

MuscleBoxPro controls the standard product and pricing framework.

This includes:

- Shake formulations
- Protein specifications
- Approved ingredients
- Product configuration
- Consumer pricing
- Promotional pricing
- Product changes
- Brand presentation

Franchisees may not independently modify the MuscleBoxPro product or pricing structure without authorization.

26. Machine Delivery

MuscleBoxPro will coordinate delivery of machines to the agreed delivery location.

After delivery to the designated location, local transportation and movement are the responsibility of the franchisee unless otherwise agreed.

The franchisee is responsible for coordinating movement of machines between local locations.

27. Local Operations

MuscleBoxPro provides the central technology, supply chain and technical ecosystem.

MuscleBoxPro does **not** provide local operational or local logistics management on behalf of the franchisee.

The franchisee is responsible for:

- Local transportation
- Local warehousing
- Local machine movement
- Gym coordination
- Local business development
- Local manpower
- Local deployment activities
- Day-to-day gym coordination
- Local operational management
- Keeping machines adequately stocked
- Refilling protein powder when required
- Replenishing cups and other approved consumables
- Monitoring stock levels and expiry dates
- Ensuring machines remain operational and available during agreed operating hours

Local operating costs are the franchisee's own responsibility and are not deducted from Distributable Profit under Section 16 (Franchise-Level Profit Calculation).

28. Franchisee Operational Responsibilities

The franchisee is responsible for the day-to-day operation and upkeep of all MuscleBoxPro machines assigned to its franchise.

The franchisee must ensure that machines remain operational, adequately stocked and available for customers during the agreed operating hours of each gym.

The franchisee is specifically responsible for:

- Regularly checking the operational status of each machine
- Monitoring protein and consumable inventory
- Replenishing protein powder when inventory reaches the required refill level
- Refilling cups and other approved consumables
- Ensuring sufficient stock is available at each machine
- Coordinating local transportation of protein and consumables
- Moving protein and consumables from the franchisee warehouse to individual machine locations
- Maintaining appropriate storage conditions for protein and consumables
- Monitoring expiry dates and preventing the use of expired products
- Keeping the machine and its operating area reasonably clean
- Coordinating routine local operational requirements
- Responding to machine or inventory alerts through the MuscleBoxPro platform
- Reporting technical issues to MuscleBoxPro promptly
- Coordinating access to the machine with the gym
- Ensuring machines are not unnecessarily left non-operational

Responsibility Cannot Be Shifted to the Gym

The franchisee's operational responsibilities are an essential part of the franchise model.

The franchisee **may not transfer or delegate the responsibility for stocking, refilling, maintaining inventory or managing the day-to-day operation of MuscleBoxPro machines to the gym owner, gym employees or other third parties without prior approval from MuscleBoxPro.**

The gym may provide reasonable access and cooperation for machine operation, but the franchisee remains responsible for ensuring that the machine is stocked and operational.

MuscleBoxPro may, at its discretion, approve a different operating arrangement for a particular location.

Any such arrangement must be expressly approved by MuscleBoxPro and will not automatically apply to other franchise locations.

Operational Performance

Failure to maintain adequate stock or operational availability may be considered a performance issue under the franchise agreement.

Repeated failure to maintain machines in an operational and adequately stocked condition may affect:

- Franchise performance status
- Territorial exclusivity
- Eligibility for additional machines
- Expansion opportunities
- Other franchise rights

The detailed service-level and performance requirements are set out in Section 31 (Minimum Performance Requirements).

29. Technical Support

MuscleBoxPro provides technical support for the machines and technology platform.

Support may include:

- Remote diagnostics
- Machine troubleshooting
- Software support
- Firmware/software updates
- Technical guidance
- OEM coordination
- Product configuration
- Technical escalation

MuscleBoxPro will provide applicable technical support without a separate technical service fee during the franchisee's capital recovery period. If MuscleBoxPro introduces a technical service fee for the period after capital recovery, the fee and its basis will be communicated to the franchisee in writing at least 60 days before it takes effect, and will be set out in a Supplementary Terms Agreement.

30. OEM Warranty

MuscleBoxPro machines are supported by applicable OEM warranty arrangements.

The franchisee must report machine issues to MuscleBoxPro through the designated support process.

MuscleBoxPro will coordinate the appropriate response, including:

- Diagnosis
- Warranty claim
- Repair
- Replacement where applicable
- OEM coordination
- Spare parts
- Technical escalation

Unless otherwise agreed in writing, transportation, misuse, relocation and non-warranty issues are outside the scope of OEM warranty coverage and are the franchisee's own responsibility and cost. Physical damage to a deployed Machine is governed by Section 61 (Insurance of Machines).

31. Minimum Performance Requirements

Territorial exclusivity and continued franchise rights are subject to minimum performance requirements.

Requirements may include:

- Minimum number of machines deployed
- Deployment deadlines
- Minimum active-machine requirements
- Minimum territory development requirements
- Operational compliance
- Minimum utilization or performance requirements
- Timely replacement of non-performing locations
- Compliance with MuscleBoxPro standards

The specific requirements will depend on the franchise tier and territory, and will be set out in writing in a Supplementary Terms Agreement or an approved territory development plan. MuscleBoxPro will not treat a requirement as a basis for termination or withdrawal of exclusivity unless that requirement was communicated to the franchisee in writing in advance.

32. Machine Deployment

The franchisee is expected to actively deploy the machines allocated to the franchise.

For example, a 5-machine Territory Franchise may be required to deploy all 5 machines within an agreed period.

A 10-machine City Franchise may similarly be required to progressively deploy its machine allocation within agreed timelines.

Failure to meet deployment requirements may affect territorial exclusivity.

33. Replacing a Gym

A franchisee may request replacement of a gym location where a location is not commercially or operationally viable.

The replacement location must:

- Be within the applicable territory
- Meet MuscleBoxPro location criteria
- Be approved by MuscleBoxPro
- Accept applicable MuscleBoxPro commercial terms
- Complete required documentation

This allows the franchisee to continuously optimize its network.

34. Adding More Machines

Franchisees may request additional MuscleBoxPro machines beyond their initial franchise allocation.

Additional machines may be approved based on:

- Existing machine performance
- Franchisee compliance
- Territory capacity
- Availability of suitable gym locations
- Operational capability
- Additional investment
- MuscleBoxPro approval

Additional machines do not automatically create additional territorial rights.

Territorial expansion must be separately approved by MuscleBoxPro.

35. Machine Expansion Blocks

MuscleBoxPro may allow franchisees to expand their machine network in additional machine blocks.

For example:

Initial Territory Franchise

5 machines

↓

Additional expansion

+5 machines

↓

10 machines

The commercial investment required for additional machines will be determined by MuscleBoxPro at the time of expansion.

The expansion price is not permanently fixed at the initial franchise's implied per-machine investment and may change based on:

- OEM pricing
 - Manufacturing costs
 - Technology costs
 - Logistics
 - Taxes
 - Market conditions
 - Other applicable costs
-

36. Priority Expansion Rights

A franchisee that consistently meets its performance and compliance requirements may receive priority consideration for additional machines within its territory.

Where additional capacity becomes available, MuscleBoxPro may first offer the opportunity to the existing franchisee before offering that capacity to another franchise partner.

Priority expansion does not guarantee approval or a fixed machine price.

37. Territory Expansion

Additional machines do not automatically expand the franchise territory.

For example:

A Territory Franchise may begin with:

5 machines → Territory A

If the franchisee receives additional machines:

10 machines → Territory A

The additional machines may only be deployed within Territory A unless MuscleBoxPro separately approves additional territory.

For City Franchisees, additional machines may be deployed throughout the defined city, subject to the franchise agreement and operational requirements.

38. Franchise Expansion

Successful franchisees may be eligible for:

- Additional machines
- Larger territories
- Additional city rights
- Regional opportunities
- Future franchise tiers

Expansion depends on:

- Performance
- Deployment
- Compliance
- Market availability
- Territory capacity
- Operational capability
- Investment capacity

MuscleBoxPro may give successful existing franchisees priority consideration for future expansion.

39. Franchisee Responsibilities

The franchisee is expected to actively develop and operate the assigned territory.

Responsibilities include:

- Deploying assigned machines
 - Finding suitable gyms
 - Developing gym relationships
 - Managing local operations
 - Managing local transportation
 - Maintaining suitable storage
 - Coordinating machine movement
 - Supporting gym relationships
 - Meeting minimum deployment requirements
 - Meeting applicable performance requirements
 - Keeping machines adequately stocked
 - Replenishing protein powder and consumables
 - Protecting the MuscleBoxPro brand
 - Following operating procedures
 - Using approved products
 - Maintaining confidentiality
 - Providing accurate information
 - Complying with applicable laws
-

40. Technology Ownership

All MuscleBoxPro technology remains the property of MuscleBoxPro or its applicable licensors.

This includes:

- Machine software
- Firmware
- Backend systems
- Algorithms
- Machine control systems
- Dashboards
- Data systems
- APIs
- Payment systems
- Recipes
- Product configurations
- Analytics systems
- Technical documentation
- Business processes

The franchisee receives only the rights required to operate the franchise.

No technology or intellectual property ownership is transferred.

41. Brand and Marketing

The franchisee receives the right to operate under the MuscleBoxPro brand within its approved territory.

The franchisee must follow MuscleBoxPro:

- Brand guidelines
- Product presentation
- Machine branding
- Marketing standards
- Advertising standards
- Customer communication standards

The franchisee may not materially alter MuscleBoxPro's customer-facing presentation without approval.

42. Advertising Network

MuscleBoxPro may monetize advertising inventory available across its machine network.

Advertising opportunities may include:

- Machine displays
- Digital screens

- Promotional placements
- Brand campaigns
- Location-based advertising
- Network-wide campaigns
- Other approved advertising inventory

Advertising profit is shared:

25% Franchisee

75% MuscleBoxPro

Advertising profit remains separate from the franchise capital recovery calculation.

43. Franchise Transfer

A franchisee may request to transfer its franchise rights to another party.

Any transfer requires prior approval from MuscleBoxPro.

The proposed transferee must satisfy MuscleBoxPro's:

- Financial requirements
- Operational requirements
- Compliance requirements
- Brand requirements
- Territory requirements

Transfer of franchise rights does not transfer ownership of the machines.

All machines remain the property of MuscleBoxPro.

44. Franchise Exit

A franchisee may request to exit the franchise, subject to MuscleBoxPro's approval, which will not be unreasonably withheld where the franchisee has no uncured breach and has no outstanding payment obligations to MuscleBoxPro.

The franchisee may not independently sell MuscleBoxPro machines.

Upon an approved exit:

- MuscleBoxPro retains ownership of the machines.
- MuscleBoxPro will take back the machines in accordance with the agreement.
- Franchise rights may revert to MuscleBoxPro.
- Protein inventory will be handled according to the applicable agreement.
- Outstanding financial obligations remain payable.
- Access to MuscleBoxPro technology and systems may be terminated.

MuscleBoxPro may take back the machines as part of the approved exit process.

A franchisee that voluntarily exits under this Section 44 does not qualify for the protection in Section 58 (Capital Protection After 24 Months), which is reserved for terminations and

non-renewals that are not the franchisee's own choice or fault. See Section 58 for the specific qualifying cases.

45. Termination

MuscleBoxPro may terminate the franchise for these reasons, and for no others:

- Material breach
- Fraud
- Misuse of machines
- Unauthorized technology use
- Unauthorized product substitution
- Brand misuse
- Non-payment
- Serious operational non-compliance
- Failure to meet minimum requirements
- Unauthorized transfer
- Material misrepresentation
- Conduct materially damaging to the MuscleBoxPro brand

Upon termination, all MuscleBoxPro machines remain the property of MuscleBoxPro, **except where Section 58 (Capital Protection After 24 Months) applies.**

Except for fraud, serious misuse of Machines, unauthorized technology use, unauthorized transfer, or conduct materially damaging to the MuscleBoxPro brand, termination for a remediable breach is subject to the notice and cure period set out in **Section 60 (Notice and Cure Period Before Termination).**

46. Death, Insolvency and Change of Ownership

Unless the Parties agree otherwise in writing, the following will be handled as described below:

- **Death of an individual franchisee, insolvency, bankruptcy, or change of control of a corporate franchisee:** the franchise may continue with a successor (including a legal heir) approved by MuscleBoxPro under Section 43 (Franchise Transfer). If no successor is approved within 90 days of the triggering event, the franchise will be treated as terminated under Section 45 (Termination), subject to Section 58 (Capital Protection After 24 Months) where applicable.
- **Change in ownership or control, or corporate restructuring, not involving death, insolvency, or bankruptcy:** treated as a transfer under Section 43 (Franchise Transfer) and requires MuscleBoxPro's prior approval.

MuscleBoxPro retains the right to approve any successor or transferee under this Section 46, which will not be unreasonably withheld where the successor or transferee meets the requirements of Section 43.

47. Confidentiality

The franchisee may receive confidential information relating to:

- Protein formulations
- Pricing
- Suppliers
- OEMs
- Technology
- Software
- Business processes
- Gym economics
- Customer data
- Advertising arrangements
- Financial information
- Expansion strategy

Such information must remain confidential and may only be used for operating the MuscleBoxPro franchise.

48. Ecosystem Protection

The franchisee may not:

- Reverse engineer MuscleBoxPro machines
- Copy MuscleBoxPro software
- Replicate proprietary recipes
- Circumvent MuscleBoxPro payment systems
- Use confidential supplier information for an unauthorized competing business
- Recreate the MuscleBoxPro franchise model using confidential information
- Remove or alter proprietary technology
- Represent themselves as the owner of MuscleBoxPro technology

Additional restrictions may be set out in a Supplementary Terms Agreement (see Section 57) and remain subject to applicable law.

49. Franchise Renewal

The franchise will operate for the term specified in Section 68 (Franchise Term and Renewal).

Renewal may depend upon:

- Performance
- Compliance
- Territory requirements
- Payment obligations
- Machine deployment
- Brand compliance

- Mutual agreement

Renewal terms are set out in Section 68 (Franchise Term and Renewal). Any additional procedural detail will be set out in a Supplementary Terms Agreement if needed.

50. Dispute Resolution

MuscleBoxPro and the franchisee will first attempt to resolve any dispute, controversy, or claim arising out of or relating to this document or the franchise relationship, including its formation, interpretation, breach, termination, or the calculation of any amount payable under it, through good-faith commercial discussions for a period of 30 days.

If the dispute is not resolved within that period, it will be referred to and finally resolved by arbitration under the Arbitration and Conciliation Act, 1996, as amended. The arbitration will be conducted by a sole arbitrator appointed by mutual agreement of the Parties, or, failing agreement within 30 days, appointed in accordance with that Act. The seat and venue of arbitration will be Noida, Uttar Pradesh, India, and the language of arbitration will be English.

This document and the franchise relationship are governed by the laws of India. Subject to the arbitration agreement above, the courts at Noida, Uttar Pradesh will have exclusive jurisdiction over any matter not subject to arbitration, including applications for interim relief.

The chartered-accountant review procedure in Section 62 (Profit Calculation, Reporting and Audit Procedure) is a separate, preliminary mechanism limited to disputes over the figures in a profit statement. It does not limit either Party's right to refer any dispute, including one that remains unresolved after the Section 62 procedure, to arbitration under this Section 50.

51. Why Become a MuscleBoxPro Franchisee?

The figures and descriptions in this Section 51 illustrate the intended business model. They are not projections, forecasts, or guarantees of actual results (see Section 56).

A Technology-Enabled Business

MuscleBoxPro combines:

- Automated protein shake machines
- Proprietary technology
- Centralized payment systems
- Protein supply
- Gym partnerships
- Advertising
- Machine analytics

into one operating ecosystem.

A Scalable Local Network

The franchisee can start with 5 or 10 machines and expand as the territory develops.

Attractive Initial Economics

During the capital recovery phase, the franchisee receives 100% of applicable MuscleBoxPro protein-business distributable profit.

Long-Term Participation

After capital recovery, the franchisee continues to receive:

50% of applicable protein-business distributable profit

and

25% of applicable advertising profit.

Transparent Operations

The franchisee receives dashboard visibility into machine and financial performance.

Technology and Supply Support

MuscleBoxPro provides the central technology ecosystem, machine delivery, protein pipeline and technical support.

52. Franchise Journey

Step 1: Apply

Submit a franchise application for the desired territory or city.

Step 2: Market Evaluation

MuscleBoxPro evaluates:

- Market potential
- Gym density
- Existing locations
- Territory capacity
- Franchisee capability

Step 3: Franchise Approval

The franchise tier and territory are finalized.

Step 4: Agreement

This document is executed by both Parties (see Section 72).

Step 5: Initial Payment

The applicable first-stage investment is paid.

Step 6: Machine Procurement

MuscleBoxPro places the machine order with the OEM.

The franchisee receives appropriate procurement and manufacturing updates.

Step 7: Machine Readiness

The applicable second-stage investment is paid when machines are ready at the OEM.

Step 8: Deployment

Machines are delivered and deployed at approved gym locations.

Step 9: Network Operation

The franchisee develops and manages the local network with MuscleBoxPro.

Step 10: Capital Recovery

The franchisee receives 100% of eligible MuscleBoxPro protein-business distributable profit until the applicable recovery threshold is reached.

Advertising profit remains separately shared at 25:75.

Step 11: Long-Term Partnership

After capital recovery:

Protein profit: 50:50

Advertising profit: 25:75

The franchisee continues participating in the long-term economics of the MuscleBoxPro network.

53. Standard Territory Franchise Summary

Investment: ₹25,00,000

Initial Machines: 5

Market: Defined geographic territory

Machine Ownership: MuscleBoxPro

Initial Protein Profit Share: 100% Franchisee

Capital Recovery Threshold: The franchise investment plus the GST and other statutory levies borne by the franchisee on it (see Section 57)

Advertising Profit Share: 25% Franchisee / 75% MuscleBoxPro

Post-Recovery Protein Profit: 50% Franchisee / 50% MuscleBoxPro

Machine Delivery: MuscleBoxPro

Protein Delivery: MuscleBoxPro to franchisee warehouse

Local Logistics: Franchisee

Local Operations: Franchisee, including machine stocking, protein/consumable replenishment, local transportation, inventory management, gym coordination and day-to-day machine availability

Payment Collection: MuscleBoxPro

Technology: MuscleBoxPro

Technical Support: MuscleBoxPro

Franchise Term: 3 years from the Operational Start Date, renewable at no extra cost (Section 68)

Machine Insurance: Franchisee, from delivery onward (Section 61)

Capital Protection After 24 Months: Machine transfer or cash refund, at MuscleBoxPro's discretion, for terminations and non-renewals that are not the franchisee's fault (Section 58)

Expansion: Available subject to approval and performance

54. City Franchise Summary

Investment: ₹50,00,000

Initial Machines: 10

Market: Defined city

Machine Ownership: MuscleBoxPro

City Rights: Exclusive, subject to performance and reserved-account provisions

Advertising Profit Share: 25% Franchisee / 75% MuscleBoxPro

Protein Profit Share: Same model as the Territory Franchise (100% Franchisee until the Capital Recovery Threshold, being the franchise investment plus the GST and other statutory levies borne by the franchisee on it, is recovered, then 50% Franchisee / 50% MuscleBoxPro; see Sections 57 and 69)

Machine Delivery: MuscleBoxPro

Protein Delivery: MuscleBoxPro to franchisee warehouse

Local Logistics: Franchisee

Local Operations: Franchisee, including machine stocking, protein/consumable replenishment, local transportation, inventory management, gym coordination and day-to-day machine availability

Payment Collection: MuscleBoxPro

Technology: MuscleBoxPro

Technical Support: MuscleBoxPro

Franchise Term: 3 years from the Operational Start Date, renewable at no extra cost (Section 68)

Machine Insurance: Franchisee, from delivery onward (Section 61)

Capital Protection After 24 Months: Machine transfer or cash refund, at MuscleBoxPro's discretion, for terminations and non-renewals that are not the franchisee's fault (Section 58)

Expansion: Additional machines and future expansion subject to approval and performance

55. Commercial Principles

The MuscleBoxPro franchise is not a machine resale program.

It is a **long-term operating relationship**, described elsewhere in this document in commercial terms as a "partnership" between the Parties. That description is used in its ordinary business sense and does not mean the Parties form a legal partnership. Nothing in this document creates, or should be read as creating, a partnership, joint venture, agency, or employment relationship between MuscleBoxPro and the franchisee under the Indian Partnership Act, 1932, or any other law. The franchisee acts as an independent contractor, is responsible for its own employees, contractors, and statutory compliance, and has no authority to bind MuscleBoxPro.

MuscleBoxPro retains ownership and control of the machines, technology, brand and central ecosystem.

The franchisee develops and operates the local network.

Both Parties therefore participate in the growth of the same business ecosystem, and MuscleBoxPro's and the franchisee's respective shares of Distributable Profit are consideration for the rights and services each provides under this document, not a division of partnership profits.

The objective is simple:

Build a profitable, scalable and sustainable MuscleBoxPro network.

56. Important Commercial Notice

The information presented in this document describes the proposed MuscleBoxPro franchise model and is intended for business and informational purposes.

Before it is executed by both Parties, this document does not itself create binding obligations, and does not constitute a guarantee of returns, guarantee of profitability, offer of securities, or guarantee of business performance. Once executed by both Parties in accordance with the Execution section at the end of this document, this document, including this Addendum, constitutes the binding franchise agreement between the Parties, and references elsewhere in this document to a separate "definitive franchise agreement" mean this executed document, unless the Parties expressly agree to replace it with a separate, more detailed agreement.

Actual results may vary based on:

- Machine utilization
- Gym location
- Customer demand
- Pricing
- Operating costs
- Local market conditions
- Advertising demand
- Franchisee performance
- Product costs
- Logistics

- Other business factors

Final franchise availability, territory, investment, machine allocation, performance requirements, profit calculations, commercial terms and contractual rights are subject to:

- Territory availability
- Franchise approval
- Due diligence
- Final commercial discussions
- Applicable laws and regulations

In case of any conflict between this document and a Supplementary Terms Agreement signed by both Parties after execution, the Supplementary Terms Agreement will prevail to the extent it expressly amends this document (see Section 57).

Prospective franchisees should independently obtain appropriate legal, tax and financial advice before entering into a franchise arrangement.

ADDENDUM: SUPPLEMENTARY COMMERCIAL TERMS

The following sections (57 to 72) supplement Sections 1 to 56 above and set out MuscleBoxPro's commercial terms on capital protection, payments, insurance, audit, taxes, data protection, force majeure, post-termination restrictions, franchise term, food safety compliance, indemnity, and execution. Where an Addendum section conflicts with a section in 1 to 56, see the precedence rule at the end of Section 57.

57. Definitions

Terms below are used throughout this document, including in Sections 1 to 56, and are collected here for reference:

- **"Franchise Registration"** means the point at which MuscleBoxPro accepts the franchisee's application and this document is executed under Section 72. The first payment instalment under Section 6 is due at Franchise Registration.
- **"Franchise Commencement Date"** means the date of Franchise Registration, or such other date specified in this document or a Supplementary Terms Agreement. Payment milestones under Section 6 run from the Franchise Commencement Date.
- **"Operational Start Date"** means the date on which the franchisee's first Machine is deployed and operational at an approved gym location under Section 32 (Machine Deployment). The 3-year term in Section 68 and the 24-month period in Section 58 run from the Operational Start Date, not from the Franchise Commencement Date, so that these periods do not run before the franchisee's Machines are able to generate profit.
- **"Territory"** means the geographic area assigned to a Territory Franchise, or the defined city assigned to a City Franchise, as applicable.
- **"Supplementary Terms Agreement"** means any written agreement signed by both Parties after this document's execution that amends or supplements this document. Where this document states that a matter "will be specified in", "governed by", or "subject to" a future or separate agreement, it means a Supplementary Terms Agreement, or, until one is signed, good-faith agreement between the Parties consistent with the rest of this document.

This document does not contemplate a separate "definitive franchise agreement" superseding it; once executed under Section 72, this document is the definitive, binding agreement between the Parties (see Section 56).

- **"Distributable Profit"** (referred to elsewhere in this document as "eligible protein-business profit") means the profit calculated under Section 16 (Franchise-Level Profit Calculation), which already accounts for the gym's profit share paid under Section 15. The reporting and audit procedure for Distributable Profit is set out in Section 62.
- **"Capital Recovery Threshold"** means the total amount actually paid by the franchisee towards the franchise investment under Section 6, inclusive of GST and other statutory levies borne by the franchisee on it. It is therefore that franchisee's own investment together with those levies as actually charged, at the rate in force when each payment is made. This document fixes neither a rupee figure nor a rate for it, deliberately: a rate stated here would be wrong from the day the statutory rate changed, and the threshold is in every case the investment plus what the franchisee actually bore on it.
- **"Machine(s)"** means the MuscleBoxPro automated protein shake machines allocated to a franchisee.
- **"OEM"** means the original equipment manufacturer engaged by MuscleBoxPro to manufacture the Machines.
- **"Confidential Information"** means any non-public information disclosed by MuscleBoxPro to the franchisee in connection with the franchise, including but not limited to the categories listed in Section 47.
- **"Force Majeure Event"** means an event beyond a Party's reasonable control that prevents or delays that Party's performance of its obligations under this document, including but not limited to the categories listed in Section 65.

Where any provision of Sections 57 to 72 (this Addendum) conflicts with a provision of Sections 1 to 56, the Addendum provision governs to the extent of the conflict. This includes, without limitation, the interactions between Section 58 and Section 8, Section 60 and Section 45, Sections 57/69 and Section 21, Section 68 and Section 49, Section 61 and Sections 16/27/30, and Section 63 and Section 6.

58. Capital Protection After 24 Months

This Section 58 (including the Buy-In Option below) protects a franchisee whose franchise ends through no fault of its own. It does not apply, regardless of how much time has elapsed, where:

- MuscleBoxPro terminates the franchise for any ground listed in Section 45 (Termination), including material breach, fraud, misuse of Machines, unauthorized technology use, unauthorized product substitution, brand misuse, non-payment, serious operational non-compliance, failure to meet minimum requirements, unauthorized transfer, material misrepresentation, or conduct materially damaging to the MuscleBoxPro brand;
- MuscleBoxPro declines to renew the franchise term under Section 68 because the franchisee failed to meet the performance, compliance, or payment requirements under Sections 31 and 49; or
- the franchisee voluntarily exits the franchise under Section 44 for its own reasons.

In each of these cases, the Machines remain MuscleBoxPro's property, and no transfer, refund, or buy-in is available under this Section 58.

This Section 58 applies where, after the franchisee has completed 24 months from the Operational Start Date, and before the franchisee has reached the applicable Capital Recovery Threshold under Section 17 or Section 69:

- MuscleBoxPro terminates the franchise for its own business reasons, other than any ground listed in Section 45; or
- MuscleBoxPro declines to renew the franchise term under Section 68 for reasons unrelated to the franchisee's performance, compliance, or payment; or
- the Parties end the franchise by mutual written agreement that expressly states this Section 58 applies.

In any of these qualifying cases, MuscleBoxPro will notify the franchisee of its election between the following two options within **30 days** of the triggering event, and will, at its sole discretion, elect one of them:

- **Option 1, Machine Transfer:** Transfer ownership of the Machines allocated to the franchisee's Territory to the franchisee, in lieu of any cash refund of unrecovered capital; or
- **Option 2, Cash Refund:** Refund the remaining unrecovered capital amount (i.e., the applicable Capital Recovery Threshold less cumulative Distributable Profit already received by the franchisee) directly to the franchisee, within **30 days** of that election, together with interest at **18% per annum** from the triggering event until payment.

Where Option 1 applies:

- This transfer is conditional on the franchisee having no outstanding payment obligations to MuscleBoxPro at the time of transfer.
- Any GST, stamp duty, or other statutory cost arising from the transfer of Machine ownership will be borne by **the franchisee**.
- Following transfer, the franchisee may continue to operate the transferred Machines, but will no longer be entitled to use the MuscleBoxPro brand, technology, protein supply, payment infrastructure, or dashboard unless a separate commercial arrangement is agreed. **The Parties acknowledge that a transferred Machine will need to be reconfigured for independent, non-networked operation before it can be used**, and MuscleBoxPro will provide reasonable technical information to enable this at the franchisee's cost.

Where Option 2 applies, the franchise ends in the ordinary course and the Machines are returned to MuscleBoxPro in accordance with Section 44 (Franchise Exit).

Buy-In Option for a Qualifying Termination Within the First 24 Months

If a termination that qualifies under this Section 58 (i.e., one within the categories above, not one of the excluded fault-based cases) occurs within the first 24 months from the Operational Start Date, Options 1 and 2 above are not available. Instead, in lieu of forfeiting its investment outright, the franchisee may propose a replacement party (an **"Incoming Party"**) to buy into the franchise in its place:

- The Incoming Party would pay the outgoing franchisee an amount towards the outgoing franchisee's remaining/unrecovered investment, as commercially negotiated between the outgoing franchisee and the Incoming Party.
- The Incoming Party would take over the franchise rights and obligations, functioning as a franchise transfer under Section 43 (Franchise Transfer).

- The Incoming Party must satisfy MuscleBoxPro's usual financial, operational, compliance, and brand requirements for a franchise transfer under Section 43.
- MuscleBoxPro will evaluate a complete Incoming Party proposal within **15 business days** and will not unreasonably withhold approval where the Incoming Party meets the requirements of this Section 58. **MuscleBoxPro's decision on a specific Incoming Party is final, and the franchisee cannot compel MuscleBoxPro to approve a particular Incoming Party.** This does not limit the franchisee's right to refer a dispute about whether MuscleBoxPro complied with the "will not unreasonably withhold approval" standard in this Section 58 to arbitration under Section 50, but the remedy for a proven breach of that standard is limited to damages, not an order compelling approval of any Incoming Party. MuscleBoxPro will provide written reasons if it declines a proposed Incoming Party.
- If no Incoming Party is approved within **60 days** of the termination taking effect, the Machines are returned to MuscleBoxPro in accordance with Section 44 (Franchise Exit), and MuscleBoxPro will not refund any unrecovered capital.

A termination within the first 24 months that falls within any of the fault-based exclusions at the start of this Section 58 (Section 45 grounds, performance-based non-renewal, or a voluntary exit under Section 44) does not qualify for the Buy-In Option either; in such cases, the Machines remain MuscleBoxPro's property, and no transfer, refund, or buy-in is available, regardless of how much time has elapsed.

59. Late Payment: Interest and Grace Period

- Payments due under Section 6 (Franchise Investment) that are not received by the due date will have a grace period of **15 days**.
- Amounts still outstanding after the grace period will accrue interest at **18% per annum** (or such lower rate as may be required by applicable law) on the overdue amount, calculated from the day after the grace period ends until payment.
- Non-payment continuing beyond **30 days** past the due date may be treated as a material breach for the purposes of Section 45 (Termination), subject to the notice and cure period in Section 60.

60. Notice and Cure Period Before Termination

For any breach capable of being remedied (other than fraud, serious misuse of Machines, unauthorized technology use, unauthorized transfer, or conduct materially damaging to the MuscleBoxPro brand), MuscleBoxPro will:

- 1 Provide the franchisee with written notice describing the breach.
- 2 Allow the franchisee **30 days** from the date of notice to remedy the breach.
- 3 Only proceed to terminate the franchise under Section 45 if the breach remains unremedied at the end of that period.

Breaches that are not capable of remedy, or that fall within the exceptions above, may result in immediate termination without a cure period in accordance with Section 45 (Termination).

61. Insurance of Machines

MuscleBoxPro does not itself bear the cost of insuring a Machine once it has been delivered to the franchisee.

- The **franchisee is solely responsible, at its own cost**, for obtaining and maintaining insurance covering the Machines allocated to its franchise against theft, fire, and physical damage, from the point of delivery to the franchisee's designated warehouse or location onward, including during local transportation and while deployed at gym locations. This is the insurance treatment referred to in Section 30 (OEM Warranty) for physical damage.
 - MuscleBoxPro will be named as loss payee or beneficiary on the franchisee's insurance policy.
 - Prior to delivery to the franchisee (i.e., during OEM manufacturing, dispatch, and transit to the franchisee's location), risk and insurance are addressed through MuscleBoxPro's own contract with its OEM or logistics provider, at MuscleBoxPro's cost, not through a policy in the franchisee's name.
 - If the franchisee does not maintain the required insurance, any resulting loss or damage to a Machine will be the franchisee's financial responsibility. Failure to maintain required insurance for more than 30 days after written notice from MuscleBoxPro may be treated as a material breach under Section 45 (Termination), subject to the notice and cure period in Section 60.
 - The cost of the franchisee's Machine insurance is a local operating cost borne directly by the franchisee and is **not** deducted from Distributable Profit under Section 16.
 - Neither Party's insurance obligations under this section affect MuscleBoxPro's underlying ownership of the Machines.
-

62. Profit Calculation, Reporting and Audit Procedure

- MuscleBoxPro will publish a profit statement for each franchise through the MuscleBoxPro dashboard (Section 22) on a **monthly** basis.
 - A franchisee that disputes any item in a profit statement must raise a written query within **30 days** of that statement being made available.
 - MuscleBoxPro will respond to the query, with supporting detail, within **15 days**.
 - If the dispute remains unresolved, either party may refer the matter to an independent chartered accountant mutually appointed by both parties, whose determination on the disputed calculation will be binding absent manifest error.
 - The cost of such independent review will be borne by the franchisee, unless the review finds that the amount MuscleBoxPro originally reported as payable to the franchisee was understated by more than **5%**, in which case MuscleBoxPro will bear the cost of the review.
 - This procedure is in addition to, and does not limit, the audit and information-review rights described in Section 23.
-

63. Taxes and Statutory Levies

- All amounts referred to in this document (including the franchise investment figures in Section 6) are **exclusive of GST** and any other applicable indirect taxes, unless expressly stated otherwise.
 - GST on the franchise investment and on any ongoing fees will be charged at the applicable rate and borne by the franchisee, in addition to the stated amounts.
 - Each party remains separately responsible for its own income tax, TDS, and other statutory compliance arising from amounts received or paid under the franchise arrangement.
 - Any transfer of Machine ownership under Section 58 will be treated as a taxable supply, and associated GST/other statutory costs will be handled as described in that section.
-

64. Data Protection and Customer Information

Customer payment and personal data collected through the MuscleBoxPro payment and technology infrastructure (see Section 13) will be collected, processed, and stored by MuscleBoxPro in accordance with applicable data protection law, including the Digital Personal Data Protection Act, 2023, and any rules made under it.

As between the Parties, **MuscleBoxPro is the Data Fiduciary** in respect of customer personal data collected through this infrastructure, and will comply with the obligations of a Data Fiduciary under that Act, including notifying the Data Protection Board of India and affected Data Principals of a personal data breach as required by law.

The franchisee will not independently collect, retain, or use customer personal data outside the MuscleBoxPro platform, and will not share such data with any third party, without MuscleBoxPro's prior written approval.

The franchisee will promptly report to MuscleBoxPro any suspected data breach or unauthorized access to customer information relating to its Machines or gym locations, **within 24 hours of becoming aware of it**, to enable MuscleBoxPro to meet its notification obligations as Data Fiduciary.

65. Force Majeure

Neither MuscleBoxPro nor the franchisee will be liable for any delay or failure to perform its obligations under this document to the extent that delay or failure results from a **Force Majeure Event**, including natural disasters, pandemics or public health emergencies, government action or regulatory change, war, strikes, or significant supply chain disruption affecting the OEM or protein supply.

A party seeking to rely on a Force Majeure Event must promptly notify the other party, describe the event and its expected impact, and use reasonable efforts to mitigate the disruption and resume performance as soon as reasonably possible.

Payment obligations that have already accrued prior to a Force Majeure Event are not excused by this section.

66. Post-Termination Brand Use and Non-Compete

Upon termination or expiry of the franchise, the franchisee will immediately:

- Cease all use of the MuscleBoxPro name, brand, trademarks, and marketing materials.
- Cease use of MuscleBoxPro technology, software, and confidential information (see Section 47 and Section 48).
- Return or destroy (as directed by MuscleBoxPro) any confidential materials in its possession.

For a period of **12 months** following termination or expiry, the franchisee will not, within its former Territory, establish or operate a business that directly competes with MuscleBoxPro's automated protein/nutrition vending model. This restriction does not apply to the operation of Machines transferred to the franchisee under Section 58, which may continue to be operated as described in that section. To the extent this restriction is found unenforceable under Section 27 of the Indian Contract Act, 1872, or otherwise under applicable law, it will be read down to the maximum scope, duration, and geography enforceable, and if no enforceable scope exists, this restriction will not apply, without affecting the rest of this Section 66 or the remainder of this document.

67. Security Deposit

No refundable security deposit is currently required to enter into a Territory Franchise or City Franchise. MuscleBoxPro reserves the right to introduce a refundable security deposit requirement for future franchise tiers or for franchisees with a history of payment delay, as specified in a separate agreement for that future franchise tier.

68. Franchise Term and Renewal

The initial term of a franchise will be **3 years** from the Operational Start Date (not the Franchise Commencement Date, so the term does not run before the franchisee's Machines are able to generate profit). Subject to Section 49 (Franchise Renewal), the franchise may be renewed for successive terms of **3 years** each, on the basis of performance and compliance at the time of renewal. **Renewal does not require payment of any further franchise investment or renewal fee.** It is granted, or declined, based on the franchisee meeting the applicable performance, compliance, and territory-development requirements under Sections 31 and 49, not on any additional payment.

69. City Franchise Profit Share

The City Franchise follows the **same profit-sharing model as the Territory Franchise**. Both franchise types share on identical terms:

- **100% of Distributable Profit** is allocated to the franchisee until cumulative Distributable Profit received by the franchisee equals the applicable Capital Recovery Threshold, unless otherwise agreed in writing.
 - After that threshold is reached, protein-business profit is shared **50% Franchisee / 50% MuscleBoxPro** for both franchise types.
 - Advertising profit is shared **25% Franchisee / 75% MuscleBoxPro** for both franchise types throughout, consistent with Section 18, and does not count toward capital recovery, consistent with Section 21.
-

70. Food Safety and Legal Metrology Compliance

The Machines dispense a consumable food product intended for human consumption. The Parties will comply with applicable food safety and legal metrology law, including the Food Safety and Standards Act, 2006 and rules and regulations made under it, and the Legal Metrology Act, 2009 and rules made under it.

- MuscleBoxPro will ensure that the protein and other consumables it supplies are manufactured, packaged, and labelled in compliance with applicable food safety and legal metrology requirements, including holding any FSSAI licence required for its own manufacturing, import, or supply activity, and making the required net-quantity declarations.
 - The franchisee, as the local operator of the Machines, will hold and maintain the FSSAI registration or licence applicable to its vending activity at each gym location, and will display the required licence or registration details on or at each Machine as required by law.
 - The franchisee will monitor and manage expiry dates, storage conditions, and hygiene at the local level in accordance with Section 28 (Franchisee Operational Responsibilities) and applicable food safety requirements.
 - Each Party is responsible for regulatory compliance within its own scope described above, and will indemnify the other Party for losses arising from that Party's failure to comply with this Section 70.
-

71. Indemnity and Liability

- Each Party will indemnify the other against direct losses, damages, costs, and expenses arising from that Party's breach of this document, negligence, or wilful misconduct, including third-party claims (including product-liability and consumer claims under the Consumer Protection Act, 2019) arising from that Party's own acts or omissions.
 - MuscleBoxPro will maintain product liability insurance covering the protein and consumables it supplies. The franchisee will maintain public liability insurance covering its operation of the Machines at gym locations, in addition to the property insurance required under Section 61.
 - Except in cases of fraud, wilful misconduct, or gross negligence, neither Party's aggregate liability to the other under this document will exceed the total franchise investment paid by the franchisee under Section 6, and neither Party will be liable to the other for indirect or consequential losses.
 - This Section 71 does not limit either Party's liability to a third party, including a customer, for death, personal injury, or product liability, which is governed by applicable law.
-

72. Execution

This document is executed by the Parties as of the date set out below, and takes effect as the binding franchise agreement between the Parties from that date, in accordance with Section 56.

For and on behalf of BLENDBOX INNOVATIONS LLP

- Name: _____
- Designation: _____

- Date: _____
- Place: _____
- Signature: _____

Franchisee

- Name: _____
- Address: _____
- Date: _____
- Place: _____
- Signature: _____

Witnesses

- First Witness. Name: _____ Signature: _____
- Second Witness. Name: _____ Signature: _____

Build Your Territory. Build Your Network. Build with MuscleBoxPro.

MuscleBoxPro

Automated Protein. Smarter Gyms. Scalable Networks.